

CANADIAN SOLAR INC CSIQ

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by

wfc

			2026	2027
Price:	13.50	EPS	0	0
Shares Out. (in M):	74	P/E	0	0
Market Cap (in \$M):	905	P/FCF	0	0
Net Debt (in \$M):	7	EBIT	0	0
TEV (in \$M):	8	TEV/EBIT	0	0

Description

We recommend a long position in Canadian Solar (CSIQ) at approximately \$13.22 per share, with a base-case value of \$30-\$35 over the next 12-24 months.

CSIQ has been written a couple of times on VIC but the US manufacturing is a new development and can be material to its future earnings power.

CSIQ is usually described as a low-margin Chinese solar-module manufacturer. That description is incomplete. It is a holding company with three major assets:

1. A new U.S. manufacturing platform, CS PowerTech, in which CSIQ has a ~ 91% effective economic interest (as outlined further in the business structure).
2. A ~64% interest in Shanghai-listed CSI Solar, currently worth approximately \$3.0 billion at market—more than three times CSIQ's entire market capitalization.
3. Recurrent Energy, a global solar and storage developer in which BlackRock invested \$500 million in 2024 at a \$2.5 billion post-money valuation.

The market discounts CSIQ because the cash is trapped inside subsidiaries, the group carries considerable debt, and the U.S. factories have yet to report standalone earnings. More fundamentally, the historical Chinese manufacturing business has not earned attractive returns over a full cycle.

Going forward, the market may be underestimating a finite period of protected U.S. earnings. As CS PowerTech qualifies for Section 45X credits, complies with the prohibited-foreign-entity (PFE) rules and achieves decent utilization, it can contribute substantially to CSIQ in 2027. Adding normalized earnings from CSI Solar ex-U.S., almost nothing from Recurrent, and deducting corporate costs produces approximately \$320 million, or roughly \$4.25-\$4.40 per diluted share for CSIQ.

At that point, CSIQ would trade at roughly 3x earnings. Also, a heavily discounted sum-of-the-parts supports the low-to-mid \$40s valuation.

So far, 2026 looks terrible. Canadian Solar lost \$109 million attributable to shareholders in the first half, is spending approximately \$1.3 billion on capex this year, and continues to consume working capital. The next two quarters will include commissioning costs before the cell factory is fully productive. It is not a surprise that CSIQ has high short interest.

Why the opportunity exists

U.S. business is not separately disclosed. Investors cannot see CS PowerTech revenue, factory margin, 45X recognition, cash-credit receipts or working capital.

Mesquite is being expanded from 5 GW to 10 GW. Phase I of the Jeffersonville cell plant began commercial ramp only in the second half of 2026, while Phase II should take total cell capacity to 6.3 GW in the first half of 2027. Fixed costs, depreciation and staffing costs have burdened the income statement. However,

- Almost all of the factory cost is visible today.
- Very little of the cell volume and integrated credit benefit is visible today.
- Contracted U.S. backlog materially reduces demand risk.
- Domestic cell capacity should remain constrained through the initial 2027 ramp even though module assembly is already overbuilt.

CSI Solar is separately listed in China, Recurrent has a preferred investor ahead of the common equity, and management has not committed to a parent dividend, buyback or subsidiary-stake sale. Further, Canadian Solar had \$7.1 billion of debt and financing liabilities on June 30. Approximately \$4.1 billion sat in Recurrent Energy and \$2.6 billion of that was non-recourse project debt but CSIQ is increasingly seen as a levered equity stub in a commodity industry.

Business structure

1. CS PowerTech

CS PowerTech owns Canadian Solar's U.S. manufacturing platform:

- Mesquite, Texas: module production expanding to 10 GW.
- Jeffersonville, Indiana: 6.3 GW of HJT cell capacity when both phases are complete.
- Shelbyville, Kentucky: planned domestic battery-cell and module capacity.

CSIQ directly owns 75.1% of CS PowerTech. CSI Solar owns the remaining 24.9%, and CSIQ owns 63.8% of CSI Solar. CSIQ's effective interest is therefore 91.0%. The ownership structure was reorganized in late 2025 so that CSIQ would resume direct oversight of the U.S. operation and strengthen compliance with new U.S. eligibility requirements.

In the US, domestic module nameplate capacity reached approximately 65.5 GW at the end of 2025, versus 43.2 GW of installations during the year. SEIA expects average annual installations of roughly 44 GW through 2036. Module assembly is therefore already overbuilt on paper, although actual production remains below demand because many plants are still ramping, lack domestic cells or face eligibility and financing constraints. Lets call the market balanced for now.

The major operating and planned facilities include:

Manufacturer	U.S. module capacity	U.S. cell/upstream capacity	Position
First Solar	~14 GW in 2026; ~17 GW for 2027	Vertically integrated thin film	Largest and strongest domestic platform
Qcells	8.6 GW	3.3 GW of ingots, wafers and cells	Fully integrated in Georgia
Canadian Solar	5 GW expanding to 10 GW	2.1 GW HJT ramping to 6.3 GW	Integrated cells and modules
T1 Energy	5 GW	~5 GW eventual	Texas platform; cells expected to begin in late 2026

ES Foundry — 3 GW cells operating Merchant cell supplier

The important distinction is between modules and cells. The \$0.07/W module credit should increasingly be competed into lower customer prices because module capacity already exceeds demand.

Domestic cells remain scarce. Before the 2026 ramps, the U.S. had only about 3 GW of cell capacity against roughly 60 GW of module capacity. Canadian Solar's Indiana investment is therefore strategically valuable.

If the announced projects proceed, conventional silicon cell capacity could reach approximately 25–30 GW during 2028–29. First Solar could separately supply 14–17 GW of annual demand using its thin-film technology. Against a 40–45 GW annual market, domestic cell supply could therefore become adequate by 2029 or 2030.

The near-term protection is nevertheless meaningful. Global module prices were approximately \$0.09/W in late 2025, versus roughly \$0.27/W in the U.S. Tariffs, import restrictions, domestic-content rules and supply-chain traceability requirements prevent Chinese excess capacity from immediately equalizing those prices. In addition, approximately 25 GW of current U.S. module capacity originated with China-linked manufacturers and faces varying degrees of PFE, customer, lender or insurance uncertainty. Effective qualified supply is lower than headline nameplate capacity but it is difficult to quantify.

Section 45X provides production credits for qualifying components produced and sold in the United States. The relevant statutory rates are:

- Solar modules: \$0.07 per watt.
- Solar cells: \$0.04 per watt.
- Battery cells: \$35 per kWh.
- Battery modules using qualifying cells: an additional \$10 per kWh.

Base assumptions for CSIQ are:

Driver	Base assumption	Gross 45X value
U.S. modules sold	8.0 GW	\$560 million
U.S. cells sold	4.5 GW	\$180 million
Qualifying U.S. storage	3.0 GWh	\$135 million
Theoretical gross credit		\$875 million

Let's assume CS PowerTech retains only 40% of this amount or \$350 million due to lower utilization and customer pricing.

Then, we know that the completed U.S. solar manufacturing platform will require approximately \$2 billion of factory and working capital. At a 10% cost of capital, it needs approximately \$200 million of annual after-tax operating profit, equivalent to roughly \$300 million of EBIT. For our assumptions, let's assume only \$100 million in underlying EBIT for the U.S. business.

CS PowerTech 2027E bridge	Estimate
Underlying product EBIT	\$100 million
Retained 45X economics	\$350 million
CS PowerTech EBIT	\$450 million
Interest, tax and other	\$(135) million
CS PowerTech net income	\$315 million
CSIQ effective share (~91%)	\$287 million

This is approximately \$3.90 per diluted CSIQ share before CSI Solar ex-U.S., Recurrent and parent costs. If underlying EBIT turns out to be \$200 mn per year then that is \$5.2 per diluted CSIQ share. We understand that, over time, most of these profits will be passed on to consumers in the form of lower pricing but there is a period from 2027–2029 when supply/demand balance is such that CSIQ can make supernormal profits.

2. CSI Solar

CSI Solar contains Canadian Solar's manufacturing and energy-storage operations outside the U.S., plus its 24.9% stake in CS PowerTech. It is listed in Shanghai under ticker 688472.

At RMB 8.68 per share, CSI Solar's market capitalization is approximately RMB 32.1 billion, or \$4.8 billion. CSIQ's 63.8% interest is worth approximately \$3.05 billion, or roughly \$42 per diluted CSIQ share.

Industry overcapacity has driven module prices below attractive returns, and CSI Solar earned only approximately RMB 300 million in the first half of 2026, down from RMB 731 million a year earlier. We assume no dramatic module-price recovery in 2027.

Year	Net income	ROE	Approximate ROIC
2021	RMB 35 million	0.5%	1.0%
2022	RMB 2.16 billion	20.3%	22.5%

2023 RMB 2.90 billion 17.2% 24.0%

2024 RMB 2.25 billion 10.2% 11.7%

2025 RMB 1.02 billion 4.4% 6.5%

It earned exceptional returns in 2022–23, approximately covered its cost of capital in 2024, and fell below it in 2025.

Cash generation is less flattering. Between 2021 and 2025, CSI Solar generated approximately RMB 21.7 billion of operating cash flow but spent approximately RMB 29.9 billion on capital expenditures, producing cumulative free cash flow of negative RMB 8.2 billion. The same is true for cash over the last 10 years. Some of the spending was growth capex, but growth creates value only if the new assets eventually earn adequate returns. Falling module prices have so far transferred much of the benefit from lower manufacturing costs to customers.

This history argues against valuing CSI Solar on replacement cost or book value. Any sustained recovery in Chinese module profitability would be upside rather than a requirement of the thesis.

The higher-quality business inside CSI Solar is e-STORAGE. It shipped 3.7 GWh in Q2 2026, had shipped more than 23 GWh cumulatively, and held a \$3.5 billion contracted backlog at June 30. Unlike a commodity module, an integrated storage product includes battery blocks, power-conversion systems, controls, commissioning and long-term service.

For 2027, We assume CSI Solar ex-U.S. earns approximately \$135 million after tax, with CSIQ's 63.8% share equal to approximately \$86 million. This requires continued growth at e-STORAGE, cost control and merely stable global module economics.

3. Recurrent Energy

Recurrent develops, builds, owns and sells utility-scale solar and storage projects. At June 30, it had a 21.7 GW solar pipeline and 84.1 GWh storage pipeline.

BlackRock invested \$500 million for 20% on an as-converted basis in 2024, implying a \$2.5 billion post-money equity value and approximately \$2.0 billion for Canadian Solar's remaining common interest.

Recurrent had \$4.1 billion of debt at June 30, including \$2.6 billion of non-recourse debt. Q2 revenue was only \$117 million and the segment lost \$19 million from operations after project sales moved into the second half. The preferred security sits ahead of common equity and carries dividend economics.

We assume Recurrent contributes only \$10 million to CSIQ's 2027 earnings after preferred and financing costs. Successful asset sales and debt reduction would be upside.

Consolidated 2027 earnings power

Bringing it all together:

2027E attributable earnings	Estimate
CS PowerTech	\$287 million
CSI Solar ex-U.S.	\$86 million
Recurrent Energy	\$10 million
Parent costs, convertibles and other	\$(60) million
Net income attributable to CSIQ	\$323 million
Diluted shares	~74 million
Diluted EPS	\$4.35

2026 will continue to be difficult. Q2 2026 manufacturing gross margin was only 11.9%, ramp costs increased, operating cash flow was negative \$181 million and total debt increased to \$7.1 billion. Management guided Q3 consolidated gross margin to only 13.5%–15.5% and said Jeffersonville ramp costs would weigh on the remainder of the year.

Valuation

Earnings

At \$13.22, CSIQ trades at approximately 3.0x this \$4.35 base-case 2027 EPS. Applying 7x to \$4.25 produces approximately \$30 per share which is a base case, but we know that if they execute, the market typically assigns a healthy multiple to growing earnings and my bull case upside is 10x the bull case EPS of \$5 per diluted CSIQ share or \$50 per share.

Sum-of-the-parts

Component	Method	Equity value	Per share
CSI Solar stake	Quoted stake less PowerTech	\$2.7 billion	\$37
CS PowerTech	CSIQ earnings interest at ~7x	\$2.0 billion	\$27
Recurrent Energy	50% haircut to BlackRock	\$1.0 billion	\$14

Parent convertibles	Face-value deduction	\$(0.4) billion	\$(6)
Gross SOTP		\$5.3 billion	\$72
Holding discount	50%	\$(2.6) billion	\$(36)
SOTP		\$2.7 billion	\$36

The 50% discount is deliberately large. CSI Solar is separately governed and historically low-return, Recurrent's preferred investor ranks ahead of common, CS PowerTech still needs working capital, and the parent has not announced a meaningful buyback or dividend.

The discount should narrow only when cash moves to the parent and CS PowerTech demonstrates attractive cash returns.

This is not Buffett's proverbial one foot hurdle but the upside is attractive and the theme (power) is exposed to AI. We believe, when earnings normalize, the upside here can make up for the complexity.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Q3 2026: initial commercial Jeffersonville shipments and evidence of 45X recognition.
- Q4 2026: higher Mesquite capacity and better cell utilization, although start-up costs will remain.
- H1 2027: the first meaningful view of integrated U.S. cell-plus-module economics.
- H2 2027: evidence of free cash flow, Recurrent deleveraging and potentially parent-level capital returns.

Messages

No messages